## *Is Atmanirbhar Bharat Import Substitution 2.0?*

Emerging from 100 years of colonial rule, India had largely missed the Industrial Revolution although some industrialization in cotton and jute textiles, processing of tea and manufacture of steel had started taking place after 1920. India was dominantly a rural agricultural country with very little to export except commodities, handicrafts and minerals. However, our policymakers had lofty ambitions of industrializing India and producing everything 'from a needle to a ship'. It was a mistaken assumption. India did not have the requisite technology or capital goods. The second mistake was to undertake all basic manufacturing in the public sector. The industrialization strategy was motivated by the notion of self-reliance, which we now call Atmanirbhar Bharat.

The situation is entirely different today. The world is virtually post-industrial. Global manufacturing value chains have a larger capacity to produce almost all required manufactured goods. Supply now exceeds demand, the reverse of the situation prevailing from the 1950s to 1980s. While it was far easier to build manufacturing for exports at that time, today a country can hope to raise its export share only by outpacing another country, and that's possible only when it can produce better quality goods at relatively lower international prices. Manufacturing today is led by IT. The multinational owning technologies and design for digitalization decides where to manufacture components and final products. In the absence of cutting-edge IT and design, India can only offer to manufacture components and products for these global multinationals. It is a challenge to gain export share by following a doctrine of self-reliance.

That said, we have no constraint of foreign exchange today. India has foreign exchange reserves exceeding $650 billion, the fourth largest in the world. Thus, we don't need to follow an import substitution policy to conserve foreign exchange.

Then, what can the call for Atmanirbhar Bharat achieve?